

SAKSHI CHANANA, 36

SLOWLY DRAINED: After losing her job at Koovs in the early months of the pandemic, Chanana tried to remain independent, but was forced to move back in with her parent six months later as her savings were depleted

"I HAVE USED UP A CHUNK OF MY SAVINGS. I HAVE TO BUILD BACK MY FIXED DEPOSIT AND MY CAREER HAS GONE OFF TRACK"

much as he once did. He is now the sole breadwinner in a family of four, after his father, who worked as a driver, lost his job. "I stopped drinking protein shakes that cost Rs 5,000 a month. I haven't bought anything for myself for the past two years," he says. Bharadwaj is also disheartened by the budget: "Direct income support would have helped," he says. "And if they can't give us money, at least allow us to operate—let us open our gyms, with precautions."

Like Shukla and Bharadwaj, many middle-class citizens have seen calamitous declines in their livelihoods. To them the Centre's Budget 2022 provides little direct help, whether in terms of a reduction in direct taxes or an urban employment guarantee scheme on the lines of MGNREGA. In terms of actual job losses, according to CMIE (the Centre for Monitoring Indian Economy), some 21 million salaried jobs disappeared between April and August 2020 alone. Pew Research's note about the Indian middle class shrinking by 32 million in 2020 also says that this accounts for about 60 per cent of the damage suffered by the global middle class in the same period.

THE MIDDLE CLASS DECLINE

The growth of India's middle class over the past few decades was an extraordinarily significant economic development. With incomes rising and millions lifted out of poverty, India became a huge market for all kinds of consumer goods, from phones and gadgets to cars and homes and everything in between. The rising consumption itself boosted economic growth, reinforcing the cycle of rising incomes, increasing consumption and growing economic activity. What experts find worrying today—three years into Covid—is that if the middle class has shrunk, consumption, which is crucial for economic growth, is bound to follow. As more households fall out of the middle class and into poverty, there will be fewer buyers in India's markets, reducing company revenues, salaries and pulling down India's economic growth trend.

And though the pandemic has become a convenient excuse to explain all ills, the decline in middle class fortunes perhaps started much before. This is what economists Anirudh Krishna and Devendra Bajpai found in their analysis measuring assets rather than incomes. A leaked NSO (National Statistics Office) analysis in 2019, using data from 2017-18, had found consumption falling for the first time in four decades. Though the conclusions of the NSO analysis are now something of a moot point—whether or not consumption was falling in 2017, the pandemic has most certainly made it plunge even further—this data remains significant in determining India's long-term economic trajectory, and the roots of the difficulties facing India's middle class. "Generally speaking, Covid has reinforced what perhaps started before 2019—there has been a general decrease in economic condition—income and consumption. Except for the very rich, whose incomes are not from the labour market and those who have guaranteed jobs, the remaining 95 per cent of the economy has been hit hard by the downturn," says Maitreesh Ghatak, professor at the London School of Economics.

According to a January 2022 study by Ghatak and Ramya Raghavan, 'The Covid-19 Shock and the Indian Economy', in real terms, India's national income fell eight per cent between 2019 and 2020. In per capita terms, the drop was